SCHEDULE DBP

DEMAND BIDDING PROGRAM

APPLICABILITY

The Demand Bidding Program (DBP) is a demand/energy bidding program that offers incentives to non-residential customers for reducing energy consumption and demand during a specific Demand Bidding Event described in the Special Conditions below.

TERRITORY

Within the entire territory served by the Utility.

RATES

Day Ahead DBP Incentive is $0.50 per kWh of Actual Demand Reduction. T
Day of DBP Incentive is $0.60 per kWh of Actual Demand Reduction. T

DBP Test Incentive: $0.60 per kWh of Actual Demand Reduction. T

Pursuant to the provisions of Special Condition 7, the DBP Incentive Payment for customers who purchase commodity from the Utility (bundled customers) is calculated by multiplying the customer's Actual Demand Reduction by the DBP Incentive for a customer's accepted bid for a Demand Bidding Event.

The DBP Incentive Payment for customers who purchase commodity from an Energy Service Provider or a Community Choice Aggregator (Direct Access or CCA customers) shall be calculated by the Utility deducting the corresponding California Independent System Operator (CAISO) hourly ex-post zonal average energy price for SP15, as posted on the event day, from the DBP incentive for a customers accepted bid for a Demand Bidding Event. In no case will the customer be required to pay the Utility if the ex-post price is greater than the DBP incentive. If the ex-post price is greater than the DBP program incentive, SDG&E will pay zero for each corresponding hour.

The Utility will provide the DBP Incentive Payment as an adjustment to the customer's regular monthly bill, within 90 days of the Demand Bidding Event. The Utility will make DBP Incentive Payments only for those hours of Accepted Demand Reduction, as set forth in Special Condition 7.

SPECIAL CONDITIONS

1. Definitions: The definitions of terms used in this schedule are found either herein or in Rule 1, Definitions.

2. Qualifying Customer: To participate in Demand Bidding, non-residential customers must be served under a time-of-use (TOU) rate and have an annual maximum demand of 20 kW or greater, and be able to reduce a minimum of 10 percent of the average monthly maximum demand over the previous twelve (12) months. This Schedule is applicable, in combination with the customer's otherwise applicable tariff(s), on a voluntary basis, to all customers, including Direct Access and Community Choice Aggregation (CCA) customers.

3. Program Operation:

   a. Demand Bidding Event. The Utility will declare a Demand Bidding Event for the following day for a minimum of two consecutive hours between 12:00 p.m. noon and 8:00 p.m. or the Utility will declare a DBP event on the same day for a minimum of two consecutive hours. Demand Bidding Events are limited to Monday through Friday. T T

(Continued)

SCHEDULE DBP

DEMAND BIDDING PROGRAM

APPLICABILITY

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   a. Demand Bidding Event. The Utility will declare a Demand Bidding Event for the following day for a minimum of two consecutive hours between 12:00 p.m. noon and 8:00 p.m. or the Utility will declare a DBP event on the same day for a minimum of two consecutive hours. Demand Bidding Events are limited to Monday through Friday.

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SCHEDULE DBP

DEMAND BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

3. Program Operation (Continued)

b. Demand Bid. A Demand Bid is the amount of kW per hour (kWh usage) that a customer commits to reduce for each hour of a Demand Bidding Event.

i. For each hour of each DBP Event, the customer must submit the customer's Demand Bid for a minimum demand reduction not less than 10% of the average monthly maximum demand over the previous twelve (12) months as shown in the customer's Enrollment Application. T
ii. Each bid must be for a minimum of two (2) hours and each bid must be for consecutive hours during the Demand Bidding Event.

c. Bid Submission. Customers may submit a Demand Bid per Event, indicating the amount of kW curtailment they are offering and the specific timeframe for which they will curtail.

i. Customers shall submit a Demand Bid via the Utility's designated Internet website.
ii. For Day Ahead Events, participating customers may submit bids to the website within two hours of notification of bid solicitation, between 2:00 p.m. and 4:00 p.m. the day before the Demand Bidding Event. T
iii. For Day Of Events, participating customers have within one (1) hour of notification of bid solicitation to submit a bid. N N T
iv. A Demand Bid may be submitted beyond the notifications of bid solicitation noted above, but the Utility need not give equal consideration to late and timely bids.

d. Bid Evaluation. Unless a capacity level (megawatt quantity) is specified in the CAISO notification, the Utility will deem all qualified Demand Bids received by the deadline acceptable from customers. In evaluating late bids, the Utility will consider then-current conditions, including previous acceptance or rejection of timely bids submitted within the first hour.

i. Bidding shall be accepted for non-holiday weekdays only.
ii. Unless a capacity level (MW quantity) is specified in the CAISO or Utility event notification, the Utility will then evaluate the qualified bids received based on a first come, first served basis, taking bidder past performance and compliance into account, and accept or reject each bid. If preliminary meter data indicates that a customer is not entitled to receive compensation for the prior three consecutive Demand Bidding Events, such customer will thereafter be precluded from participating in the following two operations of the DBP.

e. Bid Acceptance/Rejection Notification. The Utility will notify the customer of bid acceptances or rejections within one (1) hour after the Bid Submission deadline.

i. Notification of bid acceptances or rejections will be sent via electronic mail (e-mail) no later than 5:00 p.m. on the day before a Day Ahead Demand Bidding Event, and within 15 minutes of the received bid (but no later than one hour after the bid solicitation) for a Day Of Event. The Utility does not guarantee the reliability of the Internet site by which customers submit Demand Bids and receive information regarding this Schedule. T T

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SCHEDULE DBP

DEMAND BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

3. Program Operation (Continued)
   e. Bid Acceptance/Rejection Notification.

      ii. Day Ahead bid solicitations can be terminated prior to Acceptance Notification, up to the deadline of 5:00 p.m. based on CAISO notification that load relief is no longer needed. T

4. Program Triggers: A Demand Bidding Event occurs when either the forecasted reserve margins for the following day result in the CAISO issuing an Alert by 2:00 pm, or as Utility system conditions warrant.

5. Program Availability: DBP is available year round. There is no limit to the number of Demand Bidding Events per month or per year.

6. Customer Specific Baseline: The Customer Specific Baseline (CSB) is defined as the average consumption for the hours of 12 p.m. to 8 p.m. for the three highest days from within the immediately preceding ten similar non-holiday week days prior to the event. The CSB will exclude weekends, holidays, and days when a customer was paid to reduce load, when load reductions were requested, or when rotating outages are called.

7. Incentive/Energy Payment: The DBP Incentive for each Demand Bidding Event will be calculated by multiplying the DBP incentive by the customer's Actual Demand Reduction. Credits will only apply to the portion of the hourly Actual Demand Reduction that is reduced equal to or above the minimum bid. In no case will a customer receive a credit payment for a given hour if it does not meet, the minimum energy reduction threshold which shall not be less than 10 percent of the average monthly demand over the previous twelve (12) months. T T T

8. Actual Demand Reduction: The Actual Demand Reduction equals the difference between the CSB and the recorded hourly kWh consumption during a DBP event.

9. Event Notification/Communication: The Utility will notify the customer of Demand Bid Events Acceptance or Rejection by e-mail, or other communication means specified by the Utility. Customer shall be responsible for the cost and maintenance to receive such communications and to send Demand Bids via the Internet. The Utility does not guarantee the reliability of the Internet site or e-mail system used for such communications.

10. Event Cancellation: In the case where the CAISO cancels its Alert or Warning or more advanced CAISO Notice (Stage 1, 2 or 3 Emergency), the Utility will reject any bid that has not yet been accepted. Once a customer's Demand Bid has been accepted, the accepted bid shall not subsequently be rejected by the Utility, but payment shall continue to be based on the customer's actual performance, as measured by the Actual Demand Reduction.

11. Contract Requirement/Request For Service: Customers must complete an Enrollment Application with the Utility and must provide all required information to participate in the program. Enrollment Applications are deemed "accepted" when all required information has been provided by the customer and validated by the Utility. T T T T

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SCHEDULE DBP

DEMAND BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

12. Multiple Program Participation: A customer may participate simultaneously in DBP and Base Interruptible Program (BIP), Optional Binding Mandatory Curtailment (OMBC), Schedule EECC-CPP-E, Summer Saver Program, the C&I Peak Day Credit Program, or the Rolling Blackout Reduction Program (RBRP). A customer can also participate simultaneously in DBP (Day Of only) and Schedule EECC-CPP. However, under no circumstances will a customer taking service under the above listed rate schedules and this schedule receive more than one incentive payment for the same interrupted/curtailed load. T

13. Termination of Schedule: This Schedule is in effect until modified or terminated in the rate design phase of the Utility's next general rate case or similar proceeding.

14. Metering Requirement: Customer's electric meter must be an interval data recorder with related telecommunications capability, compatible with the Utility's meter reading and telecommunications systems. If a customer meets the requirements of this tariff and does not have the correct metering equipment, the Utility will provide and install interval metering equipment and telecommunications systems at no cost to the customer.

    a. Metering equipment must be in operation for at least 10 similar days prior to participating in the program to establish a CSB.

    b. For Direct Access and CCA customers, DBP compliance shall be determined from a telephone accessible electric revenue interval meter that can be read remotely by the Utility, and/or from alternative metering and telecommunications acceptable to the Utility. Direct Access and CCA customers are required to allow the Utility telecommunication access to its electric revenue meter for the purposes of determining DBP compliance.

15. Utility Testing: Customers are required to participate in no more than two (2) tests per year of the communications and responsiveness of customers to a Demand Bidding Request. During such a test the customer shall be responsible to curtail load consistent with the rest of the terms of this Rate Schedule. Test events shall be no longer than 4 hours. The incentive paid to participants shall be the product of their Actual Demand Reduction and $0.60 per kWh per test event. T

16. Utility Reporting: Utility will provide the Commission with a monthly report on the economics of this Rate Schedule. The monthly report may contain information on individual customer performance. Customers on this tariff must agree to allow the Utility, the California Energy Commission (CEC) or its contracting agent to conduct a site visit for measurement and evaluation, and agree to complete any surveys needed to evaluate the DBP program. Furthermore, customer shall provide all load data and background information, under appropriate confidentiality protections, needed to complete this evaluation. The data will also be made available to academic researchers, under appropriate confidentiality protections, to facilitate the understanding of demand response.

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